

Employees' State Insurance (ESI) Scheme – Detailed Government Scheme Report

Scheme Name

Employees' State Insurance (ESI) Scheme

Administered By: Employees' State Insurance Corporation (ESIC)

Ministry: Ministry of Labour and Employment, Government of India

Official Website:

[Employees' State Insurance Corporation \(ESIC\)](#)

1. Introduction

The Employees' State Insurance (ESI) Scheme is one of India's most important social security and health insurance schemes for workers. It was introduced under the Employees' State Insurance Act, 1948 to provide medical, financial, and social security benefits to employees and their families.

The scheme protects workers against financial hardships caused by sickness, maternity, employment injury, disability, or death due to work-related accidents. It is administered by the Employees' State Insurance Corporation.

2. Background of the Scheme

After independence, industrialization increased rapidly in India. Millions of workers were employed in factories, industries, shops, and establishments.

Workers often faced:

- Medical emergencies
- Workplace accidents
- Income loss due to sickness
- Disability risks
- Lack of healthcare facilities

To provide social security protection, the Government enacted the Employees' State Insurance Act, 1948 and launched the ESI Scheme.

3. Objectives of the ESI Scheme

The major objectives are:

1. Provide Medical Care

To offer comprehensive healthcare services to employees and their families.

2. Ensure Financial Security

To provide cash benefits during sickness, maternity, disability, and unemployment.

3. Protect Workers

To support employees against employment-related risks.

4. Promote Social Welfare

To improve workers' health and living standards.

5. Support Dependents

To provide financial assistance to families after the death of an insured worker.

6. Reduce Economic Burden

To minimize healthcare and treatment expenses for workers.

4. Key Features of ESI Scheme

Feature	Details
Scheme Name	Employees' State Insurance (ESI)
Governing Act	ESI Act, 1948
Administered By	ESIC
Type	Social Security Scheme
Beneficiaries	Employees and Dependents
Coverage	Medical + Cash Benefits
Contribution Based	Yes
Government Supported	Yes
Family Coverage	Available

5. Eligibility Criteria

An employee becomes eligible if the following conditions are satisfied:

Salary Limit

Employees earning:

Up to ₹21,000 per month

are generally covered under ESI.

For persons with disabilities:

Up to ₹25,000 per month
may be eligible.

Establishment Requirement

ESI generally applies to:

- **Factories**
- **Shops**
- **Hotels**
- **Restaurants**
- **Cinemas**
- **Educational Institutions**
- **Private Offices**
- **Hospitals**
- **Other notified establishments**

with:

- **10 or more employees (in most states)**
 - **20 or more employees in certain establishments depending on state rules.**
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6. Who Can Be Covered?

The scheme covers:

- **Permanent employees**
- **Temporary employees**
- **Contract workers**
- **Casual workers**
- **Factory workers**
- **Office staff**
- **Service sector employees**

Coverage continues even if wages increase above the threshold after enrollment during the contribution period.

7. ESI Contribution Rates

The scheme is funded jointly by employers and employees.

Current Contribution Rates

Contributor Contribution Rate

Employee 0.75% of wages

Employer 3.25% of wages

Total 4.00%

These contributions are deposited into the ESI fund.

8. Wage Components Considered

ESI contribution is generally calculated on:

- Basic Pay
- Dearness Allowance
- City Compensatory Allowance
- House Rent Allowance
- Incentives
- Attendance Bonus

Certain components like some reimbursements may not be included depending on regulations.

9. ESI Registration Process

Employer Registration

Step 1

Visit:

[ESIC Employer Portal](#)

Step 2

Register establishment details.

Step 3

Upload required documents.

Step 4

Receive Employer Code Number.

Step 5

Register eligible employees.

Step 6

Generate ESI insurance numbers and E-Pehchan Cards.

10. Documents Required

For Employer

- 1. Registration Certificate**
- 2. PAN Card**
- 3. Address Proof**
- 4. Employee Details**
- 5. Bank Account Information**
- 6. Business License**

For Employee

- 1. Aadhaar Card**
 - 2. PAN Card (if available)**
 - 3. Bank Details**
 - 4. Family Details**
 - 5. Photograph**
 - 6. Mobile Number**
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11. ESI Card (E-Pehchan Card)

After registration, employees receive:

ESI Card / E-Pehchan Card

Benefits:

- Identity proof under ESIC**
- Access to ESI hospitals**
- Medical treatment access**
- Family member coverage**

The card is used across ESIC hospitals and dispensaries.

12. Medical Benefits

One of the most important benefits under ESI is:

Full Medical Care

Available for:

- Insured employee
- Spouse
- Children
- Dependent parents (subject to conditions)

Medical facilities include:

- OPD Treatment
- Hospitalization
- Specialist Consultation
- Diagnostic Services
- Medicines
- Surgery
- Emergency Treatment

There is generally no expenditure ceiling for eligible treatment.

13. Sickness Benefit

If an insured employee becomes sick and is unable to work:

Cash Compensation

Approximately:

70% of wages

for certified sickness.

Duration

Up to:

91 days in a year

subject to eligibility conditions.

14. Extended Sickness Benefit

For certain long-term diseases:

- Cancer

- Tuberculosis
- Chronic illnesses
- Serious medical conditions

Cash benefits may continue for an extended period under specific rules.

15. Maternity Benefit

Women employees receive:

Paid Maternity Leave

With:

100% wage compensation

for the prescribed maternity period.

Includes

- Pregnancy
- Childbirth
- Miscarriage
- Related medical conditions

Current maternity coverage generally extends up to 26 weeks in eligible cases.

16. Disablement Benefit

If an employee suffers injury during employment:

Temporary Disablement

Compensation:

Approximately:

90% of wages

during disability period.

Permanent Disablement

Pension benefits are provided based on disability assessment.

17. Dependants' Benefit

If an insured employee dies due to employment injury:

Family Pension

Dependents receive financial support.

Eligible dependents may include:

- **Spouse**
- **Children**
- **Parents (subject to eligibility)**

Compensation may be approximately 90% of wages distributed according to scheme rules.

18. Funeral Expenses

The scheme provides:

Funeral Benefit

Financial assistance for funeral expenses of the deceased insured person.

The benefit amount is periodically revised by ESIC. Recent references commonly mention assistance around ₹15,000.

19. Unemployment Allowance

Under special welfare provisions:

Eligible workers may receive:

- **Unemployment allowance**
- **Medical care continuation**
- **Vocational rehabilitation support**

in specific circumstances such as involuntary unemployment.

20. Old Age Medical Care

Retired insured persons and permanently disabled individuals may continue receiving medical benefits for themselves and their spouse after payment of a nominal annual contribution under ESIC rules.

21. ESI Hospitals and Dispensaries

The scheme operates through:

- **ESI Hospitals**
- **ESI Dispensaries**
- **Diagnostic Centers**

- **Empanelled Private Hospitals**
- **Referral Medical Institutions**

Medical facilities are available across India.

22. Advantages of ESI Scheme

Medical Advantages

- **Free treatment**
- **Family coverage**
- **Specialist services**
- **Hospitalization benefits**

Financial Advantages

- **Cash compensation during sickness**
- **Maternity wage support**
- **Disability pension**
- **Dependants' pension**

Social Security Benefits

- **Worker protection**
 - **Retirement medical support**
 - **Employment injury coverage**
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23. Recent Developments

Labour Code Expansion

Recent labour code implementation discussions have expanded ESI coverage to a wider category of workers and establishments, increasing social security protection.

ESIC Amnesty Scheme

ESIC introduced the AMNESTY Scheme-2025 to resolve employer disputes, reduce litigation, and improve compliance while extending worker coverage.

24. Challenges in Implementation

Some commonly reported challenges include:

- **Limited awareness among workers**
- **Hospital overcrowding in certain regions**

- Registration issues
- Employer non-compliance
- Delays in claim processing

Community discussions frequently mention confusion regarding eligibility thresholds and employer registration requirements.

25. Impact of the Scheme

The ESI Scheme has significantly contributed to:

- Healthcare access for workers
- Social security coverage
- Worker welfare
- Financial protection during emergencies
- Family healthcare support
- Industrial workforce protection

It remains one of India's largest worker welfare and social insurance programs.

26. Conclusion

The Employees' State Insurance (ESI) Scheme is one of India's most important social security initiatives aimed at protecting workers against medical and financial risks. Through comprehensive healthcare services, sickness benefits, maternity protection, disability compensation, dependants' pensions, and unemployment support, the scheme provides a strong safety net for employees and their families. Administered by ESIC under the ESI Act, 1948, the program continues to play a crucial role in improving worker welfare, social security coverage, and healthcare accessibility across India.

Quick Summary

Particular	Details
Scheme Name	Employees' State Insurance (ESI)
Governing Act	ESI Act, 1948
Administered By	ESIC
Salary Limit	₹21,000 per month
Disabled Employee Limit	₹25,000 per month

Particular	Details
Employee Contribution	0.75%
Employer Contribution	3.25%
Main Benefits	Medical, Sickness, Maternity, Disability
Family Coverage	Yes
Pension Benefits	Yes
Funeral Benefit	Yes
Official Website	ESIC